Note 11. Income Taxes

Income Tax Provision (Benefit)

Pretax income (loss) is as follows (in thousands):

	Year Ended December 31,		
	2011	2010	2009
Domestic	$(55,053)	$(27,549)	$(4,838)
Foreign	486	—	—
Total	$(54,567)	$(27,549)	$(4,838)

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The provision (benefit) for federal, state and foreign income taxes was as follows (in thousands):

	Year Ended December 31,		
	2011	2010	2009
Current tax provision (benefit):			
Federal	$ —	$—	$—
State	(41)	68	(52)
Foreign	128	23	—
Total current tax provision (benefit)	87	91	(52)
Deferred tax provision (benefit):			
Federal	(3,226)	—	—
State	(624)	—	—
Foreign	—	—	—
Total deferred tax expense	(3,850)	—	—
Provision for (benefit from) income taxes	$(3,763)	$ 91	$ (52)

The reconciliation of the statutory federal income tax rate to the effective tax rate is as follows:

	Year Ended December 31,		
	2011	2010	2009
Federal statutory tax rate	(34.0)%	(34.0)%	(34.0)%
State tax	(6.0)	(7.4)	(11.7)
Change in valuation allowance	26.6	42.0	44.0
Permanent differences	7.7	1.8	4.1
Tax credits	(1.5)	(1.9)	(2.9)
Foreign rate impact	0.4	—	—
Other	(0.1)	(0.2)	(0.6)
	(6.9)%	0.3%	(1.1)%

Deferred Income Taxes

Deferred income taxes reflect the net tax effects of (a) temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes, and (b) operating losses and tax credit carryforwards. The tax effects of significant items comprising our deferred tax assets and liabilities are as follows (in thousands):

	December 31,	
	2011	2010
Deferred tax assets:		
Net operating loss carryforwards	$ 34,109	$ 20,371
Accrued expenses, reserves and allowances	517	455
Deferred revenue	5,457	1,763
Tax credit carryforwards	2,694	1,553
Deferred rent	139	113
Other	1,393	834
Total deferred tax assets	44,309	25,089
Deferred tax liabilities:		
Depreciation and amortization	(6,565)	(1,747)
Prepaid expenses	(769)	(564)
Total deferred tax liabilities	(7,334)	(2,311)
Valuation allowance	(36,975)	(22,778)
Net deferred taxes	$ —	$ —

The tax benefit of net operating losses, temporary differences and credit carryforwards is recorded as an asset to the extent that we assess that realization is more likely than not. Realization of the future tax benefits is dependent on our ability to generate sufficient taxable income within the carryforward period. Due to our recent history of operating losses, we currently believe that the recognition of the deferred tax assets arising from the above mentioned future tax benefits is not more likely than not to be realized and, accordingly, have provided a full valuation allowance.

The net change in the valuation allowance was an increase of $14.2 million, $12.0 million and $2.2 million for the years ended December 31, 2011, 2010 and 2009, respectively. At December 31, 2011, 2010 and 2009, we had federal and state net operating loss carryforwards of $98.1 million, $49.9 million and $18.6 million, respectively. Additionally, we had research and development tax credit carryforwards of $2.4 million, $1.4 million and $0.7 million at December 31, 2011, 2010 and 2009, respectively. These carryforwards expire between 2013 and 2031.

Approximately $14.4 million of our NOL carryforwards were generated as a result of deductions related to exercises of stock options and disqualifying dispositions. If utilized, this portion of our carryforwards, as tax effected, will be accounted for as a direct increase to contributed capital rather than as a reduction of that year's provision for income taxes. Net operating loss carryforwards created by excess tax benefits from the exercise of stock options are not recorded as deferred tax assets. Accordingly, the deferred tax assets related to the net operating losses have been reduced by $5.9 million and $0 at December 31, 2011 and 2010, respectively.

We recognize the effect of income tax positions only if those positions are more likely than not of being sustained. We had unrecognized tax benefits of $0.7 million and $0.4 million as of December 31, 2011 and 2010, respectively.

We recognize penalties and interest related to unrecognized tax benefits as a component of income tax expense. As of December 31, 2011, there are no accrued penalties or interest recorded in the consolidated financial statements. All unrecognized tax benefits would have an impact on the effective tax rate if recognized. The following is a reconciliation of our unrecognized tax benefits (in thousands):

	Year ended December 31,		
	2011	2010	2009
Beginning balance	$ 380	$ 182	$ 93
Additions based on tax positions related to the current year	280	198	89
Additions based on prior year tax positions	—	—	—
Reductions for tax positions in prior years	—	—	—
Settlements	—	—	—
Ending balance	$ 660	$ 380	$ 182

We are subject to income taxes in U.S. federal and various state, local and foreign jurisdictions. Generally, we are no longer subject to U.S. federal, state and local tax examinations for tax years ended before December 31, 2008. However, to the extent allowed by law, the tax authorities may have the right to examine prior periods where net operating losses or tax credits were generated and carried forward, and make adjustments up to the amount of the net operating loss or credit carryforward. We are not currently under examination in any tax jurisdictions. There could be a significant impact to our uncertain tax positions over the next twelve months depending on the outcome of any audit. We do not anticipate that unrecognized tax benefits will decrease relating to expiring statutes of limitation by the end of 2012.